arising out of refund / failed / reversed transactions or similar transactions against the credit limit for which payment has already been made by the cardholder. The consent shall be obtained through e-mail or SMS within seven days of the credit transaction. The card-issuers shall reverse the credit transaction to the cardholder's bank account, if no consent / response is received from the cardholder. Notwithstanding the cut-off, if a cardholder makes a request to the card-issuer for reversal of the credit amount outstanding in the card account into his / her bank account, the card-issuer shall do it within three working days from the receipt of such request.

Illustration: For a typical credit card with billing cycle from October 1, 2023 to October 30, 2023, it is assumed that the bill is generated on October 30, 2023 and the due date of payment is November 19, 2023. The different scenarios for adjustment of credit are detailed below:

Scenario 1 – Credit of refund / failed / reversed transaction within the same billing cycle	
o Purchase transaction date – October 15, 2023 o Refund on October 19, 2023 - For cancellation of purchase dated October 15, 2023	As bill is yet to be generated in the given case, the refund amount received on October 19, 2023, shall be adjusted with other debits, prior to calculation of the Total Amount Due.
Scenario 2 – Credit of refund / failed / reversed transaction post generation of bill but before making payment of the dues	
o Purchase transaction date - October 29, 2023 o Refund on November 04, 2023 - For cancellation of purchase dated October 29, 2023	The bill is generated on October 30, 2023, however, the payment towards the dues has not been made till the date of refund. Therefore, the refund amount received on November 04, 2023, shall be adjusted towards the Total Amount Due (TAD) and accordingly the cardholder will be required to pay only the remaining outstanding (Remaining outstanding = TAD – Refund amount).

Scenario 3 – Credit of refund / failed / reversed transaction for which payment has already been made	
○ Purchase transaction date - October 30, 2023 ○ Payment towards dues – November 06, 2023 ○ Refund on November 07, 2023 - For cancellation of purchase dated October 30, 2023	As the cardholder has already cleared the dues, card-issuers shall seek explicit consent of the cardholder to adjust the refund amount in line with the provision stipulated at paragraph 31 of the MD. ➢ **Case I -** If the cardholder gives explicit consent, then refund amount shall be adjusted. ➢ **Case II -** If the cardholder does not provide the consent or no response is received for adjustment of the refund, then the refund amount will be credited to the bank account of the cardholder in line with paragraph 31. Further, if the cardholder makes a request for crediting the refund (transaction for which payment has already been made), the same shall be credited back to the bank account of the cardholder irrespective of the cut off defined under paragraph 31.

Note: The card-issuers may put in place a suitable mechanism to prevent evergreening of the credit facility.

32. For business credit cards wherein the liability rests fully with the corporate or business entity (principal account holder), timeframe provided for payment of dues and adjustment of refunds may be as agreed between the card-issuer and the principal account holder.

H. Issue of unsolicited facilities

33. Unsolicited loans or other credit facilities shall not be offered to the credit cardholders without seeking explicit consent. In case an unsolicited credit facility

is extended without the written / explicit consent of the cardholder and the latter objects to the same, the card-issuer shall not only withdraw the facility, but also be liable to pay such penalty as may be considered appropriate by the RBI Ombudsman, if approached.

34. Card-issuers shall not unilaterally upgrade credit cards and enhance credit limits. Explicit consent of the cardholder shall invariably be taken whenever there is/are any change/s in terms and conditions. In case of reduction in the credit limit, the card-issuer shall intimate the same to the cardholder.

I. Reporting to Credit Information Companies

35. For providing information relating to credit history / repayment record of the cardholder to a Credit Information Company (that has obtained Certificate of Registration from RBI), the card-issuer shall explicitly bring to the notice of the customer that such information is being provided in terms of the Credit Information Companies (Regulation) Act, 2005.

36. Before reporting default status of a credit cardholder to a Credit Information Company (CIC), the card-issuers shall ensure that they adhere to the procedure, approved by their Board, and intimate the cardholder prior to reporting of the status. In the event the cardholder settles his / her dues after having been reported as defaulter, the card-issuer shall update the status with CIC within 30 days from the date of settlement. Card-issuers shall be particularly careful in the case of cards where there are pending disputes. The disclosure / release of information, particularly about the default, shall be made only after the dispute is settled. In all cases, a well laid down procedure shall be transparently followed and be made a part of MITC.

J. Customer Conduct

37. In the matter of recovery of dues, card-issuers shall ensure that they, as also their agents, adhere to the extant instructions on Fair Practices Code for lenders.

38. In particular, with regard to appointment of third-party agencies for debt collection, the card-issuers shall ensure that their agents refrain from actions that could damage their integrity and reputation and observe strict customer confidentiality. All communications issued by recovery agents must contain the name, email-id,

telephone number and address of the concerned senior officer of the card-issuer whom the customer can contact. Further, card-issuers shall provide the name and contact details of the recovery agent to the cardholder immediately upon assigning the agent to the cardholder.

39. Card-issuers / their agents shall not resort to intimidation or harassment of any kind, either verbal or physical, against any person in their debt collection efforts, including acts intended to humiliate publicly or intrude upon the privacy of the credit cardholders' family members, referees and friends, making threatening and anonymous calls or making false and misleading representations.

40. Card-issuers shall ensure to comply with the extant guidelines in respect of engagement of recovery agents issued by the Reserve Bank, as amended from time to time.

41. The disclosure of customers' information to the DSAs / DMAs / recovery agents shall also be limited to the extent that will enable them to discharge their duties. Personal information provided by the cardholder but not required for recovery purposes shall not be released by the card-issuer. The card-issuer shall ensure that the DSAs / DMAs / recovery agents do not transfer or misuse any customer information during marketing of credit card products.

42. When card-issuers outsource various credit card related operations, they shall be extremely careful that the appointment of such service providers do not compromise the quality of the customer service and the card-issuers' ability to manage credit, liquidity and operational risks. In the choice of the service provider, the card-issuers shall be guided by the need to ensure confidentiality of the customer's records, respect customer privacy and adhere to fair practices in debt collection.

43. Card-issuers shall have a system of random checks and mystery shopping to ensure that their agents have been properly briefed and trained as to how to handle customers and are also aware of their responsibilities, particularly with regard to soliciting customers, hours for calling, privacy of customer information, conveying the correct terms and conditions of the product on offer.

44. Card-issuers shall ensure that their employees/agents do not indulge in mis-selling of credit cards by providing incomplete or incorrect information to the

customers, prior to the issuance of a credit card. The card-issuers shall also be liable for the acts of their agents. Repetitive complaints received in this regard against any employee / agent shall be taken on record by the card-issuer and appropriate action shall be initiated against them including blacklisting of such agents. A dedicated helpline and email-id shall be available for the cardholders to raise complaints against any act of mis-selling or harassment by the representative of the card-issuer.

Chapter III – Form Factor

A. Issue of Form Factor

45. Card-issuers may issue other form factors in place of / in addition to a plastic credit card such as wearables, after obtaining explicit consent from the customer.

46. Form factors shall be subject to all the specific and general guidelines applicable to the respective cards.

47. Card-issuers shall provide options for disabling or blocking the form factor in line with the instructions issued by the Reserve Bank from time to time.

Chapter IV – Co-branding Arrangement

A. Issue of Co-branded Cards

48. Prior approval of the Reserve Bank is not necessary for the issuance of co-branded prepaid cards and co-branded credit cards subject to conditions stipulated under this chapter. In addition to the conditions listed herein, the co-branding arrangement for credit cards and prepaid cards shall also be subject to the specific conditions applicable to such cards.

49. The co-branded card shall explicitly indicate that the card has been issued under a cobranding arrangement. The co-branding partner shall not advertise / market the co-branded card as its own product. In all marketing / advertising material, the name of the card-issuer shall be clearly shown.

50. The co-branded card shall prominently bear the branding of the card-issuer.

51. A card-issuer can partner with more than one co-branding partner for a card.

B. Board approved policy

52. The co-branding arrangement shall be as per the Board approved policy of the card-issuer. The policy shall specifically address issues pertaining to various risks, including reputation risk associated with such an arrangement and put in place suitable risk mitigation measures. Further, the information relating to revenue sharing between the card-issuer and the cobranding partner entity shall be indicated to the cardholder and also displayed on the website of the card-issuer.

C. Due diligence

53. Card-issuers shall carry out due diligence in respect of the co-branding partner entity with which they intend to enter into tie-up for issue of such cards to protect themselves against the reputation risk they are exposed to in such an arrangement. Card-issuers shall ensure that in cases where the proposed co-branding partner is a financial entity, it has obtained necessary approvals from its regulator for entering into the co-branding arrangement.

D. Outsourcing of activities

54. Card-issuers shall also be liable for the acts of the co-branding partner. The card-issuer shall ensure adherence to Reserve Bank of India (Non-Banking Financial Companies – Managing Risks in Outsourcing) Directions, 2025, as amended from time to time. Card-issuers shall ensure that cash backs, discounts and other offers advertised by a co-branding partner are delivered to the cardholder on time. Card-issuers shall be liable for any delay or non-delivery of the same to the cardholders.

E. Role of co-branding partner entity

55. The role of the co-branding partner entity under the tie-up arrangement shall be limited to marketing / distribution of the cards and providing access to the cardholder for the goods / services that are offered.

56. The co-branding partner (CBP) shall not have access to information relating to transactions undertaken through the co-branded card irrespective of any other service offered by them to the card-issuer. Post issuance of the card, the CBP shall not be involved in any of the processes or the controls relating to the co-branded card except for being the initial point of contact in case of grievances. However, for the purpose of cardholder's convenience, card transaction related data may be drawn directly from the card-issuer's system in an encrypted form and displayed in the CBP's platform with robust security. The information displayed through the CBP's platform shall be visible only to the cardholder and shall neither be accessed nor be stored by the CBP.

F. Co-branding with card-issuers

57. Prior approval shall not be required by the NBFCs registered with the Reserve Bank to become a co-branding partner of card-issuers. The role of the co-branding partner shall be as per the conditions stipulated under paragraphs 55 and 56.